

TABLE IV.—INDUSTRIAL GROUPS DIVIDED ON BASIS OF RATIO OF
MARKET PRICE TO ASSET VALUE

Market price ÷ asset value	Number of groups	Number of companies in group	Earned on 1938 market price, %		
			1934–1938	1936–1938	1938
Over 400%	4	25	4.7	5.2	5.2
200–400%	17	166	4.8	5.4	3.6
100–200%	22	189	5.9	7.0	4.4
50–100%	20	234	4.9	6.7	3.0
Less than 50%	4	34	1.1	<i>def.</i>	<i>def.</i>
Total	67	648	5.1	6.0	3.6

It will be noted that the very highest priced groups, in comparison with asset values, were also priced higher than the *average* of all companies in terms of earnings, *except for the results of 1938 alone*. The ability of these companies to do better in the recent poor year than for the five-year average is undoubtedly the key to their popularity. At the other end of the spectrum we find, of course, that the companies selling at very low prices in relation to assets made a very poor earnings exhibit as a whole. On the other hand, the 20 groups selling at between 50 and 100% of asset value did not do appreciably worse from the profit viewpoint than the divisions selling at premiums, unless especial emphasis is to be laid on the 1938 performance. Peculiarly enough, the groups selling between two and four times asset value made a poorer showing from the earnings standpoint, in each period, than those selling between one and two times assets. Note that the figures given in Table IV relate to group totals only. Each of these may include individual companies that diverge widely from the characteristics of the total.

TREND OF EARNINGS

The variation in the results for the one-, three- and five-year period provides a simple and rather persuasive test of earnings trends. Companies or groups meeting the formula $1938 > 1936-1938 > 1934-1938$ would be exceptional on the side of improvement, whereas those meeting the opposite formula $1938 < 1936-1938 < 1934-1938$ would stand out as retrogressing. When this criterion is applied, we find the following candidates for special honors or dishonors: